Nick Nemeth: Private Credit Will Blow-up Insurance System | Immense Leverage, Shaky Loans, and Retirement System That Actually Does Have Run Risk (via Surrenders)

Podcast: Monetary matters

AI Executive Summary

Based on the transcript provided, here is a summary of the key arguments and financial perspectives presented by Nick (the guest):

1. The "Insurance Industry Crisis" Thesis

The core of the discussion revolves around the systemic risk hidden within the insurance industry, specifically regarding "permanent capital" models and their exposure to private credit.

- **Hidden Leverage & Risk:** Nick argues that some insurers are extremely levered (in some cases up to 90x–100x), significantly more than Lehman Brothers was in 2008. He highlights that while regulators might exempt certain companies from "mark-to-market" accounting, this creates a facade of stability.
- **The "Surrender" Threat:** While insurers rely on the idea that policyholders won't all withdraw money at once (surrenders), Nick argues that even single-digit surrender rates could destabilize highly levered firms. He notes that if people panic—as they did with SVB—they are often willing to pay high surrender penalties just to exit.
- **Asset-Liability Mismatch:** He points out a dangerous mismatch: insurers are moving away from "Level 1" assets (cash/treasuries) toward "Level 3" assets (illiquid, hard-to-price private credit). This makes them vulnerable during a credit crisis because these assets cannot be liquidated quickly at fair value.
- **The "Sausage inside Sausage" Rating Problem:** Nick criticizes the credit rating ecosystem. He claims that major agencies (Moody’s/S&P) are too expensive to rate individual underlying loans, so companies rely on lower-tier firms (like Egan-Jones). This creates a chain of opaque ratings where the quality of the bottom-layer credit is poorly understood by the top-level investors.

2. Evaluation of Major Asset Managers

Nick provides "lightning round" takes on several prominent players:

- **Apollo (Bullish/Respectful):** He views them as "sharks" and excellent underwriters with high-level technical capabilities, though he warns they are aggressive in deal-making.
- **Ares (Bearish/Overrated):** He believes there is a massive gap between their "brand name aura" and the reality of their underlying performance/risk compared to peers.
- **Blackstone (Neutral/Marketing-focused):** He views them more as an "operator" and a master of marketing/PR than a pure math-driven investment firm.
- **Blue Owl (Underrated/Hidden Gem):** Despite criticizing some of their PR and past mistakes, he believes their underlying portfolio underwriting is superior to what the market thinks.
- **FSK (Bearish):** He identifies them as a low-quality Business Development Company (BDC) that professionals avoid.

3. Broader Market Macro Views

- **Private Credit Inflows/Outflows:** He notes that the private credit boom is built on "massive, consistent inflows." If the rate of growth in these inflows slows down, it could trigger a reflexive downward spiral of outflows and poor performance.
- **Comparison to 2008:** While he acknowledges that today's risk isn't a "collateral crisis" (like 2008) but rather a potential "credit crisis," he believes the scale of the current issue (the Fed/taxpayer backstop required) could be even larger than the 2008 TARP bailout.
- **Investment Strategy:** His strategy focuses on finding extreme mispricings—either "multibaggers" or companies down over 50% due to fundamental flaws.

Key Terminology Mentioned:

- **Level 1, 2, and 3 Assets:** Refers to the ease of valuing and liquidating an asset (Cash $\rightarrow$ Corporate Bonds $\rightarrow$ Illiquid Private Credit).

- **RBC Ratios:** Risk-Based Capital ratios used by regulators to ensure insurers have enough cushion.
- **CLOs (Collateralized Loan Obligations):** The structured credit products that insurance companies are increasingly using to find yield.

Full Transcript

Today's episode is brought to you by the Tuquerium Corn Fund, ticker C-O-R-N. Let's get into it. Join today by Nick Nemeth, financial investor, researcher, and author at Miss Priced Assets. Nick, welcome to Monetary Matters. Thanks, Jack. It's good to be here. You write about a lot of topics. I think I first stumbled upon your work, the work that you've done on private credit and alternative assets. private equity, real estate, but primarily private credit. And you have a piece out called the smart money is the subprime this time. And you have some very, very bearish things to say about the private credit industry. You say it doesn't look like 2008. This looks like 1929. So first, what are we talking about here? Just a reminder.

viewers, what private equity, private credit is. Why are you so concerned? What's the issue here? Yeah, I just wanted to start off and say I'm not a perma bear. You know, I've made money this year. I write about longs. A certain segment of my audience is very interested in this systemic risk I've identified that I think is going to be the end of the cycle. And I think the end of the cycle, because it's been a long cycle, basically one, I don't count 2020. I don't count 2022 is going to be uglier for numerous different reasons. It's kind of like a marriage of built up risks with private credit being the trigger for a massive blow up that's not going to start in the banking system, could end up affecting the banking system. But really the mass of the crisis is insurance, where there's a 10 trillion balance sheet. That's 150% of the Federal reserves. Tell me about that. What do you mean? I mean, we're talking about subprime taking down the economy at 1.2 trillion.

There's a trillion dollars of private credit, broadly private credit. The concerning part is the direct lending, which is when a private equity company takes debt out, kind of like a mortgage in order to buy a business. Now this can be done well, but they're running leverage at seven times EBITDA that's adjusted. So EBITDA, your audience definitely knows this. I go into podcasts and it's less initiated. That's fake earnings. That's what Warren Buffett would call fake earnings. And then they make it doubly fake because they adjust it on synergies that rarely come true. S&P comes out

with data on each vintage and 50% of the time they miss by 25%, right? And sometimes it's 40 or 50%. So you can adjust those EBITAs 30% and then be looking at leverages at nine times that. So the Interest coverage that they say to in public markets. So I'm natively the public markets guy. I like seeing prices move. I just think it's a more fun game I've always thought that from the beginning of my investment career these private market guys they like talking stories and The rubber rarely ever meets the road, right? All you need to do is be able to exit in seven years in the beginning of a cycle. That's great you know, you're exiting in 2018, 2019, maybe 2021, if you're super lucky. And the people our age that have grown up and gone into private equity, they don't know anything different. You have to get to the MD level to see someone that actually felt a cycle and heard the stories and then they fell apart. And those guys aren't doing the works. And even that, I feel like people are like, well, 2000, they can never happen again. Well, the amount of opacity and insurance. Let me tell you, I've been talking to big short guys, guys that put on the trade, researched the trade, called the trade. It was pretty simple. I know that sounds arrogant to say, but defaults go up, foreclosures go up and CDOs break. You just had to do the work. Nobody does the work. Nobody does the work in public markets, small caps that I cover, rarely in even the hottest sectors like semiconductors.

But when you're talking about insurance, the annual reports, the statutory filings can get up to 10,000 pages. We're not talking about 500 pages on a 10k. We're talking about 10,000 pages. Yes. So the way private equity works is they buy companies with debt and then they sell them for a higher value. And that has worked wonderfully for many years. I think the last year where there were exits, so private companies selling their companies at scale was 2021 or maybe 2022. Since then, the Fed has raised rates, and they haven't been able to sell the companies, the IPO window, which may be open now. They haven't been able to exit these companies at all. So they haven't been able to pay their investors back. So how have they paid their investors back? By borrowing money. So then you have the rise of private credit.

So the dividend recaps is actually a very interesting wrinkle. And that's when you can't exit. So you kind of just push push down the creditors. I

don't know why creditors ever put up with that, honestly. But then you take debt out in order to pay yourself. You're not selling the company, but you're kind of the risking on the equity side. I actually don't even know if like, I don't think creditors really care if a dividend recap is happening. They just buy it. Yeah. I've asked people, very smart investors who, and they, they're not really thinking that way. Oh yeah, next, but let's just get back to the broad story. Like why, why are you concerned right now? I'm concerned because of the massive leverage running. And then I look at the credits and I've done loan level analysis from BDCs to an insurance. And originally it just started off as like, this is going to be not good in a recession. Private equity loves smaller companies. They keep on saying that's where the opportunity lies.

Those, the vast majority, I mean, 80% of them are cyclical, 30% are super cyclical. The economy this year in 2026 is not that bad. And there are the faults above 2008 levels. So the more work that I've done on this, and it's been about seven months of strict work. I've pinned this as a problem three years ago to clients. I read on Substack, I also have institutional clients. In September, October, I'm like, the status center stuff is all ending up here. I got to figure this out. But over the past seven months, that's when my thesis first started that this is a systemic issue. The key to it, and what people constantly say is, well, the banks aren't doing this. There's the shadow banks. The banks are fine. There's some lending to broad portfolios, they have some on their balance sheet, but it's not enough to take down the banks. They're right. That does not mean it's not systemic because what's happened is that it's ended up on insurance balance sheets. And I started off by saying it's a 10 trillion balance sheet. That's just so much money. That's almost one third of our federal debt. 1 trillion on those balance sheets is private credit.

And if those balance sheets go under, people might not know this, but there's no FDIC. They have a guarantee that the other insurance companies will have the money. Do they collect the money? Is it pre-funded? No. It's on their balance sheets, almost always tied to a tax credit. So basically there's no money there. And you're talking about like a reinsurance recoverable. If I'm an insurance company, I sell some of my risk to you. Same idea. It's not reinsurance. Reinsurance is a whole another whole

another issue. Maybe I've never heard of this. What are you referring to exactly? Like, like a life insurance company? Is it a mutual thing? Like, what are you, what are you talking about? Just so I know.

So each state will guarantee 250K, that's the minimum across states. Some states it's 300K, some states it's 500K of a pension risk transfer, of annuity, of a life insurance policy. But it's a million-dollar life insurance policy. So there's been recent analogs, 777, PHL, where people that when these companies go into receivership, they don't get their money back. They get 30% five years later. But there are 22 trillion in force, life insurance. So that's a lot for the states to take on. They want. Even a very small insurer stresses a state balance sheet. Because of Dodd-Frank, when it becomes an orderly wind down of even one big insurer, and these the private equity guys and we'll get into why private equity got into this insurance game but even one of those and orderly wind down of those balance sheets would not just stress private credit. When you're talking about assets and liabilities and you're you know questioning the assets it needs a mismatch to happen. When that mismatch happens then you're winding down an entire balance sheet that might be 350 billion of assets, in Athene's case. Yes, Athene is owned by Apollo and kind of started this whole rush into the insurance world. I think it's going to stress everything in credit. And then you have to worry about the mortgages, like the residential real estate market's bad, commercial real estate's a disaster. The asset backed lending just broadly, the consumer debt, all of this is going to be sold at the market. And I think that it's going to shock the system in a way that the Fed may not have the tools to respond to. The numbers are so big and it would take a double COVID or at least a COVID level response in a scenario where it's like, we don't have a pandemic. We have just a cycle that's gone on too long and there's been an excess risk taken and bad incentives. That is something that's going to be hard to job on. The response to that. Credit markets can be job-owned by the Federal Reserve where the Fed prints 2 trillion and 200 trillion of credit becomes unlocked and unfreeze. We're talking like one to a hundred of fact. That's a good Fed job on.

I'm worried that people will lose trust in the system in a way that the Fed has to, you know, starts with a trillion, goes to two and a half, and then ultimately 10. And then you have to worry about the dollar, something. So

Nick, we'll get into the macro and in particular the insurance companies. I've got a lot of questions there, but yes, safe to say, like, you're absolutely right that the insurance companies are very deep into private credit. No doubt about that. We'll get into the details later. Just tell us right now. your concerns about the actual assets within private credit. So I think it is fair to say a lot of the riskier loans the banks used to make because of Dodd-Frank post great financial crisis regulation. Now the banks are not making them. So suddenly these new private lenders show up and they actually make fantastic returns like they they make loans at 11 percent that you know really should make seven percent but no one's there. So they They do really well for their investors. And okay, maybe defaults are slightly higher than the high yield bond market, but recoveries are actually better. So they, I just want to say like they, they have done really well. When did in your view, the private credit markets stop performing well and tell us about the defaults that you're seeing and how you define them. So I would push back on the idea that they should yield 7%. I don't think that there's anything in credit markets, especially at scale, you could find.

granular opportunities where you get paid more yield for the risk you're taking on. In the beginning of the private credit, when the banks weren't allowed to do leveraged loans and all of a sudden private equities stepping in and new credit vehicles and opportunistic credit stepping in, sure, there was an illiquidity premium. That was never 400 basis points, 4%. That was maybe 150, 200 basis points. Because of the incentives, I think that If you see a 9% cost of debt loan in these portfolios and the public markets, it would be more like 11. I think that you're paying 100 just to be, you know, conservative before anyone says, I'm way off on that 100 basis points. You're paying to have these guys mark their Excel models and you be able to tell your pensions. Everything is smooth returns. Yeah. Well, like if I have a printing shop that makes 40 million a year, which, you know, That would honestly be pretty good. I'd do that. But if someone made a loan to me at 9%, you are right that the high yield bond market is way too big for me. I'm way too small for them. So they're not going to make me a loan. So my alternative is a bank that probably is going to charge me way more or not give me a loan at all, especially if I'm highly indebted. So let's just take that. Yeah. So I hear what you're saying. A lot of big companies that private equity, especially software, If some of these software companies went to a

public market, it would be way higher. Let's just say that they were publicly trading, and that also brings another point. The companies that are in private markets are worse companies with less moats than their public market comps. The public market is the best of the best. The software stocks that you've seen down 70%, 50%, those are better than Toma Bravo's portfolio.

which included medallia, but I encourage people to go look out the portfolio companies Toma Bravo. I'm not saying that they're all bad, but if you looked at a software stock at 10 billion and compared to, you know, a 5-10 billion buyout from Toma Bravo, I'm pretty sure that you would lean towards the public comp. Yeah, they're more like Adobe than they are ServiceNow. Well, service now is, you know, I'm bearish on service now. The tickets in Adobe, I'm bearish on software, generally speaking. But those are way better than what Tomat Bravo owns. I mean, they own McAfee. They own, you know, a lot of companies that I'd never seen before, I did research and do alternative data to figure out, are they doing well? And the answer is typically no. Here's what I can say with confidence is that if they were publicly traded companies, they would also be down 60 to 80%.

like so many other public public stocks. I genuinely think that some of these companies, if they were able to be shorted to, right? That's the one thing about private equity. You can't short it. They're not used to the heat. This year, they kind of got ambushed by that. I think that there's some 2 billion companies in these portfolios that would be, I live in small cap land and micro cap land. I think there would be 250 million companies. Like some of them, the average would be down at least what the average software stock is this year. Okay. So tell me exactly where your concern is located. So software, those deals actually tend to be on the larger side. Like it's the, or is it the, the, the 40 million of EBITDA lithography print shop? You know, there's not a lot of that. When I look through these, you can see in the BDC is really well, it's a lot of rollup strategies. So dental practices, yoga shops, You know, if you go into smaller private funds, it might be gardening or pest control. HVAC is huge even in the public shop. So the software are the biggest deals. Consumer has some big ones, but there's also these roll-up strategies that are built on this idea of EBITDA arbitrage. One of these

things, private equity guys, sake, you know, the stories they tell at dinner about how they create value.

you know, sure, maybe you can share an accountant, but the idea that you dilute the quality of business that you do and just roll it up under a bigger company where ultimately inefficiencies can lie and you can just immediately mark up a role and add on acquisition at seven times EBITDA to 12 times EBITDA and then say your EBITDA underwriting is X and take out more debt. Yeah. And what we're referring to is like you buy one yoga studio that has an HR system, a software system. You buy 20 of them and then you consolidate, you know, you let go of the HR people and consolidate into one software system and achieve synergies. That's the word to use. And then suddenly your earnings are higher and then you can borrow against it. That's what you're saying. Yeah. They love the word synergies. I mean, it's really just a capital advantage.

I'm not saying that there's no advantage to doing that. If you're buying up all these yoga studios and by the way, you have a four billion dollar fund and you can put more money into it and you can take out debt on it at its lower cost of capital in order to renovate your studio and compete with the mom and pops. Yes. But then the question is, what if you don't have the capital advantage anymore? Tell me the stress that you're seeing in the credits. You have to do a lot of work to really get granular on it, but you can just Google private credit defaults, and it's above 2008 levels. And if that happens for an extended period of time, I think six quarters based on my math, then these CLOs, which are collateralized loan obligations in 2008, we had collateralized debt obligations. Now we have loan obligations. You're going to start seeing forced downgrades of those.

That's mainly what's on the insurance balance sheet and what I see as a primary trigger. You have to have a capital call and that happens. But defaults are up. Leverage is extreme. And well, I started off with these people are not investors. That was my first piece of private credit. I encourage people to read that one. I think it's kind of lost, lost. But the smart money is a subprime this time. Some of these private funds they're not even including pick in the leverage because it's not cash And they don't pay it was just payment in kind which is like I yeah I borrow you know a

million dollars, and I pay back 600,000 of it in cash I pay back 400,000 of it in payment in kind which means I just pay them back in more debt So it's it's it's tacked on to the principal. Yeah, and I just want to say so private credit defaults now I think I guess I'm gonna take you at your word that they're higher in 2008, but in 2008, they weren't high. That's the point, right? They weren't high. It was like 6%, but it was a totally different asset class. I mean, so much money is rushed into this. It's the anatomy of a bubble. If you read Soros, the amount of money, and it's particularly bad when it happens in credit, a SPAC bubble, that's not systemic. You know, people lose money.

see what's happening in Korea. People are just buying 10x leverage somehow, borrowing money, putting it into a broker. When it's credit, it becomes a problem because it could seize up what an economy like ours is the lifeblood of the economy, which is dead. How do you define defaults now? Because I've had some people say that defaults in private markets are actually kind of lower than they were a year and a half ago. Yeah, I think you have to have a certain bias to say that things were better than they were in 2024. Defaults, it just depends on what basket, if you're including BSL, I mean, maybe what I'm looking at is direct lending companies. And the 6.3% number, I mean, it's S&P or you can go do a search on it. It's actually not led by software, which is interesting because software is at 2.3, 2.4%. Again, there's payment kind there.

So you can kind of just pretend until the end. So one thing that I just want to emphasize to people and everyone will understand this. We're talking about seven times leverage. It's like having credit card debt. Sure, maybe it's 11% interest. Credit card debt seven times your pre-tax income. That's the equivalent. And then you adjust it for the fake EBITDA and your pre-tax income, you really have expenses. So you're adding back something. They add back rent in these EBITDAs, which is pretty insane in some of them. They'll take a car wash. They'll sell the rent to a related party, REIT. They'll be able to borrow against the REIT. And then they'll pay below market rent on it so that they can borrow more from the bank. And then they'll add back rent. So people in the know do EBITDA, EBITDA plus rent.

seven times can become nine times and then you add pick and it can become 10 and a half times. So we're talking about you make 100 grand, you have a million dollars of debt. That's how much leverage is running here. And that sounds very high. I'm not saying it's not high, but if your rate is, you're paying 7% on that a million dollars you have in debt, that's 70,000 a year that is less than you have in, you have an income. So that is a, you do have more. Then enough cash flow to pay off. Yeah, so so that's that's basically the math But I think it would be closer to you make 80,000 and if you think about the variability of business performance of these companies Imagine a recession and then if you're talking about credit you need a 90% hit rate Right because you're only getting your upsides capped your downsides also capped, but it's 100% It really doesn't work. I see a lot of people ask me like Hey, why don't you focus on private equity? I do focus on private equity. One, if I'm talking about private credit, it's a corollary that this is a commentary on private equity. But at least in private equity, and you see it less these days, but you could have a three, five, 10X outcome. In private credit, you can only be money good. That's the best it can be.

you're looking out and saying, okay, we're going to have some disruption with technology, maybe money got too hot in dental practices, HVAC, all these various sectors. If you have 10% defaults and we're at 6% for next four quarters, you have massive problems. Hope you're enjoying today's interview. This episode of Monetary Matters is brought to you by the Tukeum Corn Fund, ticker C-O-R-N. If you follow the show, you know we spend a lot of time on macro themes like energy transitions, geopolitical risk, and global food security. Corn sits at the intersection of all three. Most people watching the Strait of Hormuz are focused on oil. They should be looking at nitrogen. A third of the world's fertilizer trade passes through that choke point. When that corridor tightens, fertilizer prices react, and corn farmers feel it first. Corn is the heaviest nitrogen user in U.S. agriculture, so rising input costs hit their margins quickly. The longer term story could cut the other way too. If farmers pull back on fertilizer application, yields may come down. If the economics get difficult enough, some may choose to abandon corn and plant something else entirely. Either scenario potentially tightens corn supply, which could be price supportive. Bottom line.

The pinch on the producer side could become the price story on the commodity side. Tuquerium's corn ETF gives you exposure to corn prices. Ticker C-O-R-N. Traded on NICI ARCA. Access it through your broker's account, no futures account required. Tuquerium also has a family of agricultural ETFs, including the Tuquerium Wheat Fund, Ticker W-E-A-T, the Tuquerium Soybean Fund, Ticker S-O-Y-B, and the Tuquerium Sugar Fund, Ticker C-A-N-E. Head to tuquerium.com to learn more. This material must be preceded or accompanied by a prospectus. The prospectus is available at tuquerium.com slash corn. Investors should carefully consider the investment objectives, risks, charges, and expenses of the fund before investing. The prospectus contains this and other important information. Investing involves risk, including the possible loss of principal. Commodities and futures generally are volatile, and instruments whose underlying investments include commodities and futures are now suitable for all investors. Past performance does not guarantee future results. Thanks for listening. Let's get back to today's interview.

What kind of recoveries are you forecasting? Or do you expect way lower than what they're saying? Way lower. I mean, they're selling the hard assets. They're pledging them to get more debt to the amount of credit games that I've been exposed to over this past year. I talked to a premier lawyer and the LMEs and I've been talking to bankers. It's outrageous. And then I'm reading the footnotes and seeing what's pledged to what and. the same lean have different pricing by the same company, meaning there's an agreement among lenders. It might say it's firstly and senior secured, but it's second, firstly and senior secured. The recoveries and software are going to be horrendously low. The data and the majority of these companies, I'm a tech guy. I'm bullish AI. I think there's going to be huge losers in AI, but in aggregate, I think you can justify the spend that just clarify that. The software data and the majority of these port codes, it's just not useful. I've talked to open AI guys, I've talked to anthropic guys. They'll pay a lot one time for really good data. The majority of these software companies do not have really good data. If you are Databricks, which is a private company that's been well funded by Blackstone and others, you're going to be fine. They're infrastructure. They're going to be the build. It's a great company. But the majority of these are wrappers, like a niche process in enterprise spend that can be one-shotted by the frontier models today. They have one

to two-year contracts look out when they start rolling off. Today, this is going to come out in a few days, but today IBM comes out and I think that's a story that's going to be told a lot of times. And a lot of these were underwritten with 10, 15% cagger. And that's why they could justify the pick, right? Because you could grow into the debt. And that's, you know, kind of what we're trying to do as a country, right? And if you don't grow though, you are in a major, major problem. Yes.

Tell us about the different layers of debt because a lot of times when people say, oh, private credit's not that levered. I think they're using some official data that does show that it's actually not that layer but levered. But you track that there are actually five or maybe even six layers of leverage on some of these companies. You know, Jensen Wong talks about the five layer cake of AI. You've got a six layer cake of debt here. So let's start with the operating company and then go down the cake. Start at the top of the cake. Yeah, they don't talk about the operating company. So what they're talking about is the fund level debt, the BDC, the bonds, the BDC sales, or, you know, a collateralized fund obligation. The underlying credits, as we talked about, are seven times leveraged to be generous. That means that to a business outcome, if you miss EBITDA by 25%, levered to the outcome is significant.

Then you have the underlying portfolio companies. So a BDC might sell, sell senior debt, pledge assets, funding agreements. That can be about 30, 40%. I think that's what typically people think of when they're talking about how much leverage is in this asset class. Then you have the underlying debt of the money that's going into the funds. So, if you think about the people that will go into a fund, it's going to be allocators, wealthy individuals, and the general partners. The general partners being the people that make the investment decisions at the firm. The allocators might be sovereign wealth, pension funds, or insurance companies. The pension funds are not that levered, also endowments. The pension funds are not that levered, endowments are more so. There might be funding subscription lines where they don't have the money right now, but they'll have them in three months. That's not so worrying. But the sovereign wealth side, as the Arabs have contributed, I believe, a trillion dollars to private markets. And they currently have a trillion dollars allocated to private markets. They will do a

repurchase agreement in order to send a hundred million dollars of US treasuries a 10 year to maybe Norge's bank or some European bank or some American bank or they can just ask Scott Bassett for a swap line and then they will get back minus air cut a billion dollars. So there could be 10x leverage there potentially up to I've heard 20x leverage and then they will contribute that billion dollars that they originally only had 100 million to different private equity funds broadly speaking maybe 250 million a pop. So that's from the inside.

Then adjacent to that, the general partners can borrow from their funds or this burgeoning GP financing industry where it's maybe 7% cost of capital and they get your stake if you can't pay. It's basically a margin loan into it. 5x leverage on that. And they can justify this because none of them believe that you're ever going to get negative returns over the course of a PE fund or a private credit fund. From the bottom, you have GPs and LPs levering up into private credit and private equity funds. Then on the equity side, the private credit is leveraged to the equity. And then under each of those portfolios, you might have 30% LTV, meaning loans against the entire portfolio that is first lien, meaning the GPs and LPs don't get any money.

the banks or the insurance companies that lend to the broader funds get the money first, get the returns first. And that's what people typically say, they're not that levered. Once you stack it all up, and there's some smaller ones too, I believe that there's only in a buyout industry, total private equity debt, which includes private capitals about 10 trillion. What's leveraged buyouts is a little bit over 4 trillion. I believe that there's only a trillion dollars of cash that's gone into that industry, like legitimate cash, not... You're saying that it's mostly borrowed money? It's mostly borrowed money, yeah. So if I have margin on my stock portfolio and I make a purchase for a home, I consider that as no equity, right? I think a trillion dollars directly into it, but then there's also ways that there can be more leverage and different, you know, it might not be directly in that chain, but it might be adjacent like the stock portfolio margin versus buying a home as well. Just how big are these loans? Cause you know, I know that a lot of these loans have actually been extremely well performing. Like Silicon Valley bank did subscription lines and even though Silicon Valley bank failed, I think that their subscription line business had like one or two

defaults in the entire history of the business. Cause like, yeah, if you lend, if you lend Harvard money for 30 days, so you're letting Harvard money so they can invest in the fund and then they pay back in 30 days, like Harvard's good for it. You know, the Saudis, as you say, the Arabs, they're good for it. Yeah. You just smooth, I mean, you're smoothing it out. It's not that concerning the subscription line stuff, but you're also seeing Harvard good at debt.

Yes. They're going to debt capital markets. So is Yale. Yale is 50% in privates right now. 50% of their money is in a liquid assets that they better get back based on the amount of money that they spend. So they're actually selling bonds in order to fix the liquidity problem. And again, counting on the exits actually happening, that's when it's actually legit. Yes, I almost like because of the Trump administration's policies towards like Ivy League universities and such that's also a pressure there So it's it's you know many many many forces of why they're issuing bonds But the facts that you said are are correct. I'm not going to to dispute them. Okay, so Why do you say that this is 1929 and not 2008? 2008 hurt the little guy 1929 there was a lot of people that got extremely wealthy off the stock market and they were the people that got wiped out. So my point there is, if you think about the people taking excess risk, there's some great stories in the big short or otherwise. It's an adult entertainment dancer that has four homes. And she's like, oh, I've got some money and this is a great investment. And those were the foreclosures. This time, I see the white collar workers being primary effect. I see the cause of this being the private equity guys that went into insurance and made it a profit center. They did the Warren Brock Buffett approach, but started taking F-35 level risk. Okay. So now, as I promised, we'll go to the insurance sector. So you were absolutely right that the private Credit industry and broadly the alternative asset management industry has they're always looking for investors of course, you know as as most investors are and when you're managing other people's money and they've turned to the insurance companies to manage their money and in some instances They literally bought the insurance companies. So Apollo created an insurance company or bought an insurance company Athene KKR did the same with a company and many all the other big alternative asset managers that are publicly traded have a giant arm of managing insurance capital. And I also believe that a lot of this insurance capital is in

the health and life space. So so annuities, life insurance and the like, which on the underwriting side is a little bit of a commodity. So like in the, you know, if I'm if I'm writing flood insurance, and you're writing flood insurance and we're competitors, You may be way better at pricing than I am because you have some special insight on like the hurricane patterns or California or Florida, whatever, some sort of niche in the market. That's extremely rare in like life and health insurance. It very, it is like a commodity. Like the actuaries have figured out if you have, you know, if you have an insurance pool of 500,000 people, like they know how much it costs just because it's the law of large numbers. So then how do you get an edge as a life and health insurance?

It's really you're not an insurance business. You're an investment business. That's disguised as an insurance business. Yeah, that's a sophisticated point that you made about the commoditization of this asset class. There's not a lot of variability to it. If your home is inland in Florida, maybe you have better data on that. Yes. So again, the balance sheets are so massive. This is where I've spent a lot of my recent time on it because I think that there's an amazing trading opportunity. shorting these balance sheets, honestly. They have seen these assets and the one thing you didn't mention, the primary reason they like this capital is because to them, it's permanent. They'll call it permanent capital. It's not permanent. Nothing in life is permanent, but they call it permanent. And they think that the duration is long and the asset and liabilities are perfectly matched.

Yeah, you're talking about alternative asset management firms. They have an issue in private credit. They, in 2015, they go to all the big, you know, rich investors. They fly to Saudi Arabia. They fly to UAE. They fly to go to all the endowments. They raise the fund. Seven years later, they pay back the fund. They've got to raise all that money again. It's operationally, it must be very tiresome and it's not ideal as a business to do that. So permanent capital, like literally, we are going to just manage this money forever. And if we literally own the insurance company, it is permanent capital, unless they go out of business. So they're not crazy calling it permanent capital. But also they do call public business development companies where they manage stuff for public investors. They call that permanent capital. And they, as you know, I'm sure you know this, they count the debt in that funds

as permanent capital when they're reporting that to investors, which doesn't seem to me to be very straightforward or direct. On the insurance side, one thing, you know, just to fill in something, there's a thing called surrenders. You can ask for your money back. They just don't think that will ever happen in excess of that. They don't think there's a real tail event scenario there. I hope there's one actuary listening. And I've spoken to a lot, a lot of actuaries. They'll model out if interest rates go up.

typically what's happens, what's a two-three standard deviation move. Actuaries, if you find a really good one, they also understand the investment side. The actuary math, they have to take 11 tests, 11 math tests. They're good at math, but being good at math and understanding the asset side of the equation is a really hard picture to put together. but they know what would potentially set off surrenders. Except if you don't understand the risk you're taking on the asset side, you can't imagine a reputational risk that would spike six standard deviations. And you would think is a one in a thousand year move, but I believe is inevitable. There are actuaries that can do it. And there's maybe 50 in the country.

being conservative. Maybe I'm speaking to one. Yeah. No, no, no. And, um, I mean, the people who structured mortgage backed securities and subprime CDOs, they were good at math too. Yeah. Yeah. The LTCM. Yeah. I actually think I'm going to have someone, a co-founder of LTCM on podcast pretty soon. So he's, he's very good at math. We'll, we'll see. So, but Nick, the argument about when you hold risky assets that cannot be sold, in a fire sale other than at severely reduced prices on a bank balance sheet where people can pull their money from make at any time that is extremely risky the argument that the alternative asset and management industry makes and that the regulators actually kind of like is hey this is long-term capital or as they say perpetual capital you can't pull your money you can't pull your money as a depositor at Apollo we don't have any depositors we just have people who are clients and they can't pull their money and then we also have People who are clients of our insurance company and they can't pull their money But you're you're talking about surrenders just how much is the surrender cost because this is something I had not considered really low You know and a fiend I know well. I've done a lot of work on it being 7% in year one 5% in year two and then it goes down for five years after

that This is the cap of how much you can surrender. No, it's the penalty of everything you've given them You can get back you know seven percent Okay. So, 7% is not, for some reason, people think that's going to stop people. People will sell a stock when it's down 50%. When they're panicking, if the actual panic is, my insurance company is at risk, they'll pay whatever. And two thirds or one third, I don't want to be wrong, of a thing is completely outside the window.

probably one third go with a safer number, is completely outside the window of any penalty whatsoever. But if you're in year three, it's 3%. And what people don't understand is that especially the worst products, if it's some sort of specialized products or more risk being taken on the balance sheet, they'll pay out a salesperson 10%. And that'll be the entire first year. of premiums that are paid. So if you go through one year, a theme pays out salesperson. Annika or American Equity in Life will pay out a salesperson. Then in year two, they say, I want my money back, right? Let's say it's year. It might be a 3% penalty. You paid out 10%. You got to go find the assets on your balance sheet. A theme has 8% level one assets.

And it's all treasuries and it's all cash. Then they have a good amount of level two assets, a lot of mortgages, some corporates, and they have about 50% level three assets. So recognizing that the majority of that you're trusting a theme in order to price appropriately. If you have an uptick in surrender, it doesn't have to be that big because What we're not understanding is that these insurers balance sheets are levered up in many cases more than Lehman Brothers was in 2008. I mean, we're talking 90 times, 100 times in some case, some have negative equity. And a commissioner said, well, you don't have to mark to market. Here's an exemption or you don't have to do the, here's a fair value exemption. So now you don't have infinite leverage. You have only 70 times leverage. There are better ones.

I don't want to sound like all insurance guys I'm going after, the savvy ones know exactly what I'm talking about. Compare New York life to a theme. Compare New York life to Carlisle. What Carlisle has been doing is through fortitude is where they have negative book value and they got an exemption. So that I was I was gonna say that I imagine some of the

insurance companies that have very low equity Some of that would be because of duration so interest rates going up not credit I mean like if you know at the peak of interest rates in like early 2023 if you looked at Bank of America's equity on a mark-to-market value basis It wasn't looking so hot and I pointed that out and actually people accused me of trying to start a run on Bank of America, which of course I was not So but you're saying that this is from credit No Bank of America Bank of America about six hundred billion dollars of 20 year bonds in 2021 They kind of I think were forced into it by the governments the government was like here's a 250 billion. It was agency mortgage-backed securities So very essentially no credit risk, but lots of convexity and duration risk duration risk So the asset liability mismatch is important. You could be negative as long as it doesn't have to be realized you know, you can just lose money to inflation or whatever it is, right? The amount of credit write downs that are proactive on these insurance companies is functionally zero. What we see per year, it's, you know, interest rates are up, it's eating these underlying credits. If you have a mortgage backed security, it might be agency or non-agency, however many years, it's just duration. And then they have treasuries, it's duration.

typically they market on fair value, but in the case of fortitude, they got an exemption because that was too ugly. I think it would have to be a very extreme scenario of everyone pulling their money at the same time. I'm not saying it's impossible. It does seem unlikely. It does seem unlikely until you figure out that it only takes single digits. low single digits for over 100 of these 680 insurers to be inside the R, the, the, they talk about these RBC ratios and capital reserves. Yeah, it's kind of like tier one capital. People can live in financial markets for their entire lives and not know what these means, but it's basically they say that they have four times as much as they need, right? That's what they tell.

The problem is the number that they need is incredibly low. That's where we get to the ratings and the ratings being important, just like in 2008. In 2008, that was all AAA rated paper. Was it the most riskless credit in the world? No, it was not. But the ratings agencies got it wrong. And I think the ratings agencies are getting it wrong all over again. And they're kind of constrained. I've talked to Fitch and Moody's analysts that've rated these insurance companies. I have to say, I just default to think that anyone that

puts up with something that I think is ridiculous, I think that they're not intelligent. I think they must be not intelligent. There's no way you can be an intelligent and sit there and allow this to happen. Are you talking about Fitch, Moody's, S&P rating the insurance companies or the assets that the insurance companies own private credit?

Well, they don't do that. Egan Jones and Kroll do that for them. So just going back, I was talking to the Fitch guys. They're not dumb. They're not dumb. They are paid to be dumb. It is the function and the model of those businesses. They are not paid to ask questions and they have to rely on the underlying credit. So for a long time, They would just say, these are 100 Bs. Okay. Let's make that a, you know, slice it. How much equity cushion is there? How many mezzanine classes? How big are the mezzanine classes? What's the senior? Okay. Double A. I mean, triple A, double A, triple B, double B. Okay, but now you're talking about structured credit. I mean, what do you talk about? CLOs here or just? The CLOs are what's largely on the insurance. Okay.

Okay. Triple B rated mezzanine paper is, there's a Barclays report on this super outsized exposure to that. And talking to actuaries, that's like the min max of how much capital you have to reserve and how much yield you can get. So that's why triple B. CLOs or what insurance is rushing towards. Again, just trying to get the most profit that they possibly can. But then the underlying insurance groups, and they're all rated equally. There's like five different entities in Athene. There's at least, there's so many in Prudential, but there's one bad one, but it will get all of the, they will get the rating of the parent company. So they're all rated the same. And when they rate the Athene debt, or the Prudential, Netlife, Lincoln, F&G, Jackson Debt, they're looking at CLOs that are triple B. So it's a rating on insurance debt that allows them to get access to capital. And it is based off of ratings on CLOs. And those ratings on CLOs are based on ratings by these actually stupid people. Okay. So the CLO rating, You know, we all know that is coming from Moody's and S&P and Fitch, the big, the big guys. Morningstar has actually got a little, a little credit rating department as well. And, but the assets in those CLOs that make up the underlying loan, those are rated by. It's too expensive to have S&P or Fitch rate your underlying credit and they don't want to. There's a reason. Okay. But doesn't like Moody's and S&P

say that they're, we're rolling out private markets coverage. Like they say that on the calls. I don't know.

Yeah. I'm sure they're trying to get business where they can get business, but they're too expensive. And I will criticize them. The difference between Kroll and Egan Jones and Moody's is massive, right? So when you're relying on those markets, if you're a private equity company, you just want the lowest cost of capital. What does that mean? You want the highest rating. Where are you going to get the highest rating? You're going to go to Egan Jones. Does Moody's want to rate your credit for 150 grand? Yes, right? Are they rolling out that business line item? Yes, especially when people are talking about the Egan Jones credits. But all of these ratings are not based on the actual credits and the business fundamentals being looked at by Fitch or Moody's.

It's kind of just sausage inside of sausage inside of sausage, and you're just rating letter grades. Yeah, you're saying that the underlying loans are being rated by like D tier credit rating firms like Egan Jones. F tier, yeah. You can't be worse than Egan Jones. Yeah, I mean, there are like Bloomberg articles just about how many ratings, I mean, they are ratings factory of just- So before AI they were doing- Like if this is the big short moment, you know, which sounds like you are leaning towards the answer is yes. on that question, like, and there's a movie about it, which they probably won't, let's be honest. But that scene of the woman, the woman who's blind, who works, you know, he just got Lasik surgery and she's wearing the glasses. She would be, she would work at Egan Jodes. Yeah. And then the guy that's talking to Mark Baum in Vegas, he would be a, actually there's multiple different characters he can be. And, you know, listen, I think that what's happening now, is so ironic. We've all seen the big short. We grew up with that through the global financial crisis and then the media that resulted from it. That I think that people it can't like it can't be so similar. That's what people believe. It can't be so similar. Anyone says it's just like a weight must be, you know, short cutting the work. If you actually do the work and you think about the incentives and you've had conversations and I just I love history, whether it's living history or financial history. I was talking to the head of a mortgage division at a major bank. And he was saying that he wrote a diary for the first time in 2008. He'd never done that before. And he

never thought it would happen. And he never thought it would be as bad as it was. And I just think about the incentives. And it is so similar to me. And the reason being is that Dodd-Frank didn't fix anything. It didn't do anything.

It pushed the risk, and then even worse, it gave all of these institutions the understanding that one of us will go down and then everyone else will be declared systemically important. It'll be an orderly wind down, assets will crash for a second because nobody wants to be the buyer of first resort, and then the Fed will come and backstop it. But like I said, That works if you're talking 250 billion. TARP was 750 billion. The repo facility for after SBB was 250 billion. The TARP was only drawn from 440 billion. The numbers we're talking about, I think, are starting. The Federal Reserve is a big ape, and I think we're talking about an elephant. It does sound quite different from 2008 in quality. I understand in scale, you said it could be as big, maybe even bigger. But I mean, yeah, the banking system, it's not in the banking system, it's in the insurance industry, and it's not in mortgages, it's in private credit, mainly to companies. That is a substantial difference. But tell me, so do you really think that there could be a run on all of these insurance companies at the same time in the same way that you had during the...

Financial crisis if you know the bank is going down it's you just literally pull your money And then if you are in the repo market, you're a highly sophisticated player You know how to put your money overnight. You're following these things like I bet a lot of people who have life insurance with these companies That have a different name than the parent company that's having issues in the credit market They probably I don't know. I don't I don't know if they're going to imagine. What do you say? It's hard to imagine. Yeah. Yeah, I'm not saying it's impossible to be clear. I'm not It's hard to imagine for everyone, but they would have said that about SVB. And then all of a sudden on social media, everyone's going viral. You remember the bear case on SVB? People are like, it's never going to be recognized, right? Same thing with Bank of America. Then all of a sudden, there's just a tip. And then there's a bad call. And once the bad call happens where they're saying, everyone, don't panic, don't worry. We're just raising money. It's not for any reason.

all of a sudden it's like the game's up. When that happens, what else happened? Did SVB, would first Republic have gone down if it wasn't for SVB? No, no. And then you have contagion, right? So I think it's really hard for people to imagine the virality of these things. And I think that there's a very interesting story that would do very well on social media. Everyone I talk to, I would say 90% of them sit in your camp of it's hard to imagine. And I think it's an inevitability. That's like the super tail scenario where you're getting 15%, 20% redemptions. But if we're talking single digits or what needed to take the first one down, it could just happen because rates are higher and credits go down and things can just get compressed.

So you're saying that as surrender rates would only have to go to single digits like 9% and then the escape more. So some of them have 10% surrenders per year. But what surrenders are today, a little bit of people just need money, a little bit of people, you know, interest rates go up. And by the way, they realize it's a terrible product to begin with just by a five year treasury or a 10 year treasury. But the, the, the modeling of it, is very tight in terms of what the standard deviation is. But the outlier, especially if you're a private equity backed insurer with 25% allocation to private credit, running at 60 times leverage, you might have capitalized your sales assets, so it looks like your capital surplus isn't more. In a Thien's case, they have goodwill on their gap equity.

A lot of related party paper that you can assume is more likely to be mismarked. We're talking about it going from 8 to 11. It could go from 10 to 14. We're not talking about much. But didn't you say that half of the assets are level one, like deposits and cash treasuries? No. Oh, OK. So what is the percentage of level one? On a theme, it is under 10%. Oh, okay. I totally misheard you. Okay. Sorry. And then so much is then they do 40% is level two. Okay. Right. Okay. So which are corporate bonds and agency mortgage back securities, which like realistically can be sold even during a financial crisis, you know, yeah, I mean, during financial crisis, you could sell anything at 37 a dollar. Right. Yes. But I'm saying like a Microsoft bond is, you know, they don't have Microsoft bond. It's too low.

Right. I mean, very little. They'll have a lot of mortgages, a huge mortgage book. They're always trying to min-max yield and returns. And remember, they're paying, they have to pay for the entire enterprise of insurance. Their cost of capital is, in a lot of cases, seven, eight percent. They're not going into a Microsoft bond unless it's the best way to get some quality on your balance. That is not going to pay for their cost of capital. They're losing money on that. They'll have treasuries, they'll have cash, they'll have high-grade in the corporates, but that is legitimately just because they have to. Then the stuff that is yielding more than their cost of capital if your single A is all private credit. If you're double A, it might be high-yield publicly traded bonds.

Again, if you look at HYG, Transdime is in there. It's a great company. It just runs levered. High yield in public markets is not the same as what these loans are and it doesn't yield the same. It's pretty obvious. They're going further and further down the risk spectrum because one executives in public companies need to pay dividends and they want to get compensated and hedge funds like it and allocators like seeing. cash earnings, but on the private equity side, these are profit centers. And also, by the way, they collect fees on the assets. So they will try to maximize the spread on their cost. I think it is fair to say that in the private credit world, Apollo has actually one of the best reputations specifically for finding the best loans and for underwriting, which is basically, you know, finding the highest rewarding, lowest risk, relative to risk, loans. Do you think that reputation is justified? I think that they are good underwriters. I think that they have amazing lawyers. And I think that's really their advantage. They are sharks. And if you're in a deal with Apollo, look out, they will cut you out. You know, numerous examples ask anyone. I just think that they're running risk at an F-35 level. Yes.

Could they be an elite fire, a set of fire fighter pilots? Yes. But you're also seeing examples of failures like the insurance and Germany, for example, commercial real estate in Germany that they make mistakes. Now, do they have enough of a capital barrier on 300 and 300 billion dollars of assets where I have calculated the real capital as more like four to six billion than 20 or 30 that they're saying. statutory it's 4.1 or 4.2, that's like a razor-thin margin of error. Having said that, if we assume that Apollo's actually pretty

good at moving out of hot sectors, unlike Blackstone, right? Blackstone seems to love the hottest Momo trade of the year in private credit. Apollo makes marginal moves that you can point at and say, okay, these guys are, you know, they're better than their peers. What about the, if we, so if we say they are the Top the league tables, right? We have 680 companies. What about number 50? Number 50 might have a billion dollars of assets. What about number 200? 200 might have 50 billion dollars of assets and 50 billion dollars going on to a state's balance sheet will stress it It will stress it and they'll bring down a 75 billion dollar one. So if you're thinking that And we set the bar as, OK, but Apollo is smart. They can do it. Do you think that Apollo is better than every other private equity company? Do you think Athena has better asset investment and actuary math than every other insurance company by how much and understand that that risk level, because people have to compete. They need market share. It's commoditized, as you said, is taking Down the league tables and mutual funds where there's not necessarily a profit-scent of it's way better But I have to tell you mass mutual I've been working with a guy named Rod Dubitsky worked at Fitch called the big short People should look him up as well. I think he's coming out. He came out with a report on mass mutual There you have 25% private credit. So there's massive dispersion and again if you have three If you have 150 billion of assets go under, that's a problem. That's a major problem. And SVB was what? 250 billion of assets? It was sound about right? Yeah, yeah, yeah. What was the percentage of treasuries and mortgage-backed securities? A very high percentage. Right. So that's generally, you know, especially if the Fed comes in and says, hey, we're going to make sure that there's a legal facility and it's going to be fine.

That's easy to wind down, especially if you give it a runway, we're going to wind it down over 18 months. When you have so many level three assets, the marks could be way off. And the amount of work that you have to do to figure out if this dental roll-up is actually doing well, people are just going to be like, OK, I'll give you 25 cents for it. Yeah, the insurance company, the state balance sheet of Wyoming is not equipped to do you know, no offense to them, analysis on like whether the loan to the roll up for dental offices is good. I'm not equipped either to be clear. I'm not being a snob. That's what the Dodd-Frank did. It's really funny too. It's like they, so

actual, they'll call in actuaries to help line these things down. And I've talked to a couple of them. And when they go in there, it's a mess. And they're calling, you know, the investment side, if they understood, still, you're giving the regulators, how do you orderly wind this thing down? What do we do? Now we're trusting the government to make wise decisions for the taxpayer because the taxpayer is paying for it. Nick, tell us specifically what form the private credit it is in, like you said, 25% of private credit on mass mutual because earlier you said that it's mostly in the CLOs. And there's two types of CLOs, CLOs that contain, there's actually more that contain like broadly syndicated loans, as you said earlier, BSL, and then the so-called middle market CLOs, which contain middle market loans, aka, it's a term for private credit. But like, are you counting like, if an insurance company like MetLife has a bunch of CLOs, but are actually broadly syndicated loans, and like one of the loans is to transdime, which you said you don't you don't have a problem with.

Are you counting that? Because I think even though the share of CLOs has gotten more middle markets and more private credit than the share has gone up, but it's still not a giant percentage, right? Of the middle market CLOs? Of the CLO market. I think it's still mostly broadly syndicated loans, not middle market. There's a lot of broadly syndicated loans and there is a dispersion there, but a lot of the broadly syndicated loans are software, right? The bigger stuff that trades. So your concern to be clear is not only referred to like direct lending private credit middle market. It is also broadly syndicated loans. Yeah. I mean, I, I don't think that all that much changes. Sure. You know, there's a Q set. Sure. You can get a quote. But when we're talking about liquidity and again, I traffic in small cap stocks, top of book liquidity is not liquidity, right? Just because you can trade a haircut.

at relatively close to par does not mean that it's, that's the price, like that's the liquidation price, the orderly wind down price. And I want to go back to, to what you said, how, you know, the difference between 2008 and today, 2008 was in the collateral system, right? That was a fundamental crisis in the collateral system. Today it's not, today it's not. It's not going to be a collateral crisis where because that's tight, people have to sell everything. I think it's going to be people are going to sell everything because it's a credit crisis. And you're going to be looking in order to fund

because you can't sell the liquid stuff. You're going to sell high yield debt. You're going to sell what you can as Boas Weinstein says. Nick, who?

I'm just going to do a lightning round of the publicly traded asset managers. We talked about Apollo. What do you make of Aries? I think Aries has the biggest gap of brand name Coca-Cola aura to reality. And I've done a lot of work on ARCC as a BDC and this is what people can see and they can verify. Go. and maybe I should come out with something on this. Go compare that to FSK. Everyone thinks FSK is junk. Widely seen as a low quality, publicly traded business development company that has problems to put it mildly. All the professionals hate FSK. Yeah, yeah. Right? Compare that to ARCC. All the professionals love ARCC. Exactly. You know, one has a 50% discount, more or less. One is less than 5% discount consistently.

Both have 60% software, ARCC has more subordinated debt. Now, in their business, is having a brand and having professionals believe that you're God's gift to Earth? Is that a pro to the business? Sure. But that is the one that I would knock down the most in terms of reality. Blackstone is next in terms of I feel like the entire business is marketing, entire business. The way that they have Bloomberg or Fitch reporters and do Instagram reels, John Gray is not a math guy. He's an operator through and through. When I look at Mark Rowan and I listen to Mark Rowan speak and Zito speak, there are people that, okay, they're used to making investment decisions. I don't agree with them, but I see somebody who's an investment person. When I look at John Gray, I see a narrator.

You're talking about the CEO of Blackstone. I will say you're bullish on AI. So it sounds like you're bullish on semis and data centers. Blackstone's got a lot of data center exposure. So if you write about that, they could do well there. But yeah, okay. What about Blue Owl? Blue Owl is the one that I would bump up the most. They're underwriting. Yeah. Blue Owl's public relations is the worst thing I've ever seen. The worst thing I've ever seen. I've caught them giving 20 million to a nuclear company that doesn't do anything. absolute bogus. It's awful. Having said that, going through OCIC, OBDC. Wait, Blue Owl gave 20 million to a short report? Oh, I wrote a short report. And I'm like, Blue Owl, what are you doing here? They gave it

20 million. There's actual hot air. So they will make mistakes. You can find mistakes, but overwhelmingly analyzing their portfolios.

they will do the related party to Guevara. They are not what the market thinks has that much worse. Now, I'm not saying that the stock is a stock, no financial advice. Reputation really matters. Your PR, your marketing really matters for these businesses. Anytime there's just a stink on you, just because you're as good underwriters as Blackstone, doesn't mean that because there's a discount in your multiple or anything like that, it's a buy. Because reputation matters so much. And if you have a good reputation, you continue to get inflows. If you have a bad reputation, you continue to get outflows. Outflows can cause bad performance, which causes more bad outflows. It's a vicious cycle. It's incredibly reflexive. You're seeing Aries and Apollo be able to raise money. Blackstone's not. So, you know, I'll bump.

The most overrated is Aries, the most underrated is Bluel. That is a very contrarian take. I'm here for it. Nick, tell me about the outflow-inflow situations. So far for a lot of this interview, you've described kindling, which by your eyes, to your eyes, seems extremely dry and extremely ripe to go into a giant bonfire. But what is the match? I mean, the match has to be outflows. And before you have outflows, you have to have inflows stop. I think for some like Blue Owl funds, the inflows have been not very good. And I know there's also a lag. Just tell us your picture, your view of the inflow outfly dynamic in the private credit market. So I think that this asset class and everything, the spreads, the multiples and private equity is all built on consistent inflows, consistent massive inflows. It's like when the monetary supply is going up 10% every year, If it goes down to 5% then you have a problem because everything is priced off of that 10% and the rate of change is painful. So I think that's it. I think you have that and then there's a problem on refines, especially when you get to the disruption in the software wall. Now, I do think that there's opportunity for money to be coming out of the asset class. The money that is returned is the first money that is returned in a long time or not much this year.

pensions aren't going to reallocate to private credit. On the open funds, if you come out of an open fund and go and buy Aries at 95 cents because you

see an immediate OIC or, you know, when they do these loans, they get an immediate markup. But this could be your immediate markup. You can go out of Blackstone at Beacred into Aries at even a 5% discount or FSK at a 50% discount. If you believe in the asset... If you're talking about taking money out of privates marked at 100, put it into public assets that have very similar assets at a discount. That's what you're talking about. Very similar. They're closed, but you can buy the rights to the dividends if there's dividends. That's money coming out of the asset class, even just that swap. So as long as the game theory says rational participants in economics will go towards the value, that's so obvious.

There's enough information out there. They should just go to the closed funds at a discount. It's 80% similar, substantially similar to use an IRS term. They don't do that because they don't want to see the prices move. But over time, I think all it takes is less money, more scrutiny, going into the asset class. And then all of a sudden, defaults pick up and then redemptions pick up again. And it's just says this, you know, every bubble and everything is reflexive on the upside. And it's also reflective on the downside. Absolutely. It is extremely prosyclic. Nick, we will leave it there. People can find you on X at Nick Nemo 17. 17 is my lucky number. Your sub-stack is mispriced assets. Nick, as you said in the beginning, you are not a perma bear. So tell us what is the research that you do on your sub-stack? Other than bearish stuff on private credit, what are the theme stocks you're looking at?

So the theme is stuff that's way off. I don't want to talk about Google if it's marginally consensus. So I try to find stories that I think are going to be multibaggers or down over 50% on the short side. So typically I traffic in smaller companies, mid caps for technology because small caps in technology are typically not that great, especially when AI has been pumping a lot of stuff recently. but it's long, short, and macro coverage. Basically, whatever gets me extremely excited in order to do enough research on to feel like I have something to say. We'll leave it there. Thanks, Nick. Thanks, Jack. Hope you enjoyed today's episode. Those interested in learning more about the Tukeum Corn Fund, ticker C-O-R-N, can find more information in the link in the description. Until next time.